

INSURANCE AND PENSIONS COMMISSION



LIFE REPORT FOR LIFE ASSURERS

FOR THE YEAR ENDED 31 DECEMBER 2013

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
'13	The Year 2013
'12	The Year 2012
'11	The Year 2011
NOTE:	ALL MONETARY FIGURES ARE IN USD



1.0 Table of Contents

	Table	Graph	Page
Industry Overview	1		4
Life Assurance Companies			
The Number of Operational Institutions			6
Business Written	2		6
Business Composition	3	Figure 1	7,8
Not taken up policies		Figure 2	9
Market Share	5	Figure 3	10
Claims Analysis	6,7		12-14
Debtors Aged Analysis	8	Figure 4	15-16
Earnings	9	Figure 5	17-18
Asset Quality	10	Figure 6	19-20
Capitalisation, Solvency and Liquidity	11	Figure 7	21
Reinsurance		Figure 8	22
Reassurance Companies			
The Number of Operational Institutions			24
Business Written	1		24
Earnings		Figure 1	24
Capitalisation, Solvency and Liquidity	2		25
Asset Quality	3	Figure 2	26
Market share	2	Figure 3	27

2.0 Industry Overview

This report is based on 10 direct players and 2 reinsurance companies. The industry wrote \$264million in net terms, a 34% year on year growth with total costs outgrowing premium inflows by 16% ,a warning sign for the need for prudent cost management. The life sector, however, realized \$72million in technical profit in sympathy with a 73% combined ratio (December 2012: 67%).For the year under review, total industry assets grew by 31% to \$1,6billion at year (December 2012: \$1,2billion).

The life industry was largely adequately capitalized statutorily although attaining a perfect asset-liability balance remains a challenge as evidenced by the liability being 5times as big as the industry's free assets(capital).It remains IPEC's medium to long term goal to ensure at least 1:1 ratio in line with emerging best practices (See Table 1, below).

Table 1 : Financial Performance Indicators for Life Companies for the quarter ended 31 December 2013

Item	Life Assurers			Life Reassurers			TOTALS		
	Dec 2012	Dec 2013	Growth	Dec 2012	Dec 2013	Growth	Dec 2012	Dec 2013	Growth
Gross Premiums Written (\$000)	196,058	261,860	34%	5,981	7,059	18%	202,039	268,919	33%
Net Premiums Written (\$000)	192,606	258,163	34%	4,965	5,740	16%	197,571	263,903	34%
Retention Ratio	98%	99%	1%	83%	81%	(2%)	98%	98%	-
Total Gross Claims (\$000)	89,444	127,229	42%	1,710	2,696	58%	91,154	129,925	43%
Total Net Claims (\$000)	88,973	124,739	40%	1,852	2,696	46%	90,555	127,435	41%
Management Expenses (\$000)	33,479	52,722	57%	1,308	1,446	11%	34,787	54,168	56%
Commissions (\$000)	4,904	8,952	83%	1,278	1,519	19%	6,182	10,471	69%
Total Costs(\$000)	127,356	186,413	46%	4,438	5,661	28%	131,794	192,074	46%
Technical Profit	65,250	71,750	10%	527	79	(85%)	65,777	71,829	9%
Expense Ratio (%)	20%	24%	20%	52%	52%	-	21%	24%	14%
Claims Ratio	46%	48%	4%	37%	47%	27%	46%	48%	4%
Combined Ratio	66%	72%	9%	89%	99%	11%	67%	73%	9%
Total Assets (\$000)	1,176,799	1,543,636	31%	5,886	6,853	16%	1,182,685	1,550,489	31%
Current Assets	159,690	231,290	45%	3,939	5,183	32%	163,629	236,473	45%
Current Liabilities	44,294	81,498	84%	1,148	652	(43%)	45,442	82,150	81%
Total Liabilities (\$000)	1,024,677	1,260,021	23%	3,638	5,009	38%	1,028,315	1,265,030	23%
Free Capital(\$000)	152,120	245,245	61%	2,248	1,845	(18%)	154,368	247,090	60%
Liquidity Ratio	361%	284%	(21%)	343%	795	452%	360%	798%	438%
Capital to liability Ratio	15%	19%	34%	196%	37%	18%	15%	1%	14%
Prescribed Asset Ratio (%)	-	1%	-	1%	-	-		0	

Section A

Life Assurance Companies

3.0 Update on Number of Operational Institutions

This report is centered on 10 life assurers.

4.0 Net Premiums Written

For the period under review, life offices wrote \$258million in net written premiums, a 34% growth from \$193million realized in the prior year. This shows a rapid recovery of the industry (see Table 2, below).

Table 2: Net Written Premium Distribution by Company as at 31 December 2013

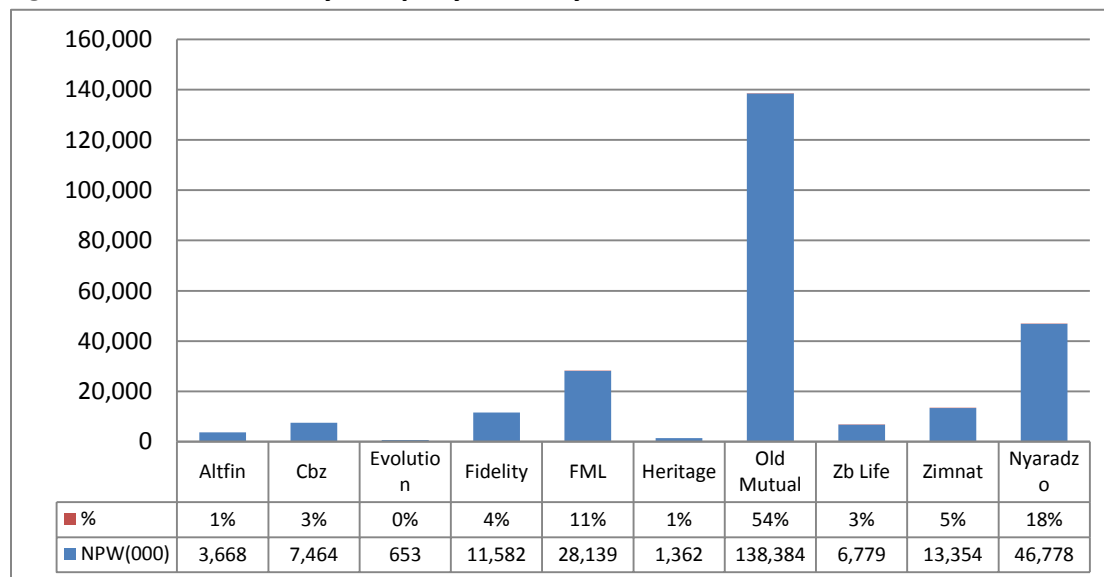
Name of Company	NPW (USD)		Growth
	Dec 2012 (000)	Dec 2013 (000)	
Altfin	3,989	3,668	(8%)
Cbz	3,907	7,464	91%
Evolution	558	653	17%
Fidelity	8,520	11,582	36
FML	22,189	28,139	27%
Heritage	1,016	1,362	34%
Old Mutual	134,202	138,384	3%
Zb Life	6,460	6,779	5%
Zimnat	11,765	13,354	14%
Nyaradzo	-	46,778	-
TOTAL	192,606	258,163	34%

5.0 Market Share For Life Assurance Companies

For the period under review, 83% or \$213million of the total net business was controlled by the top three top companies (December 2012:88% or \$168million). The Commission continues to encourage industry competition based on new product innovation, development as well as service (See Table 2 above and Figure 1 below).



Figure 1: Market share by company for the year ended 31 December 2013



6.0 Business Composition

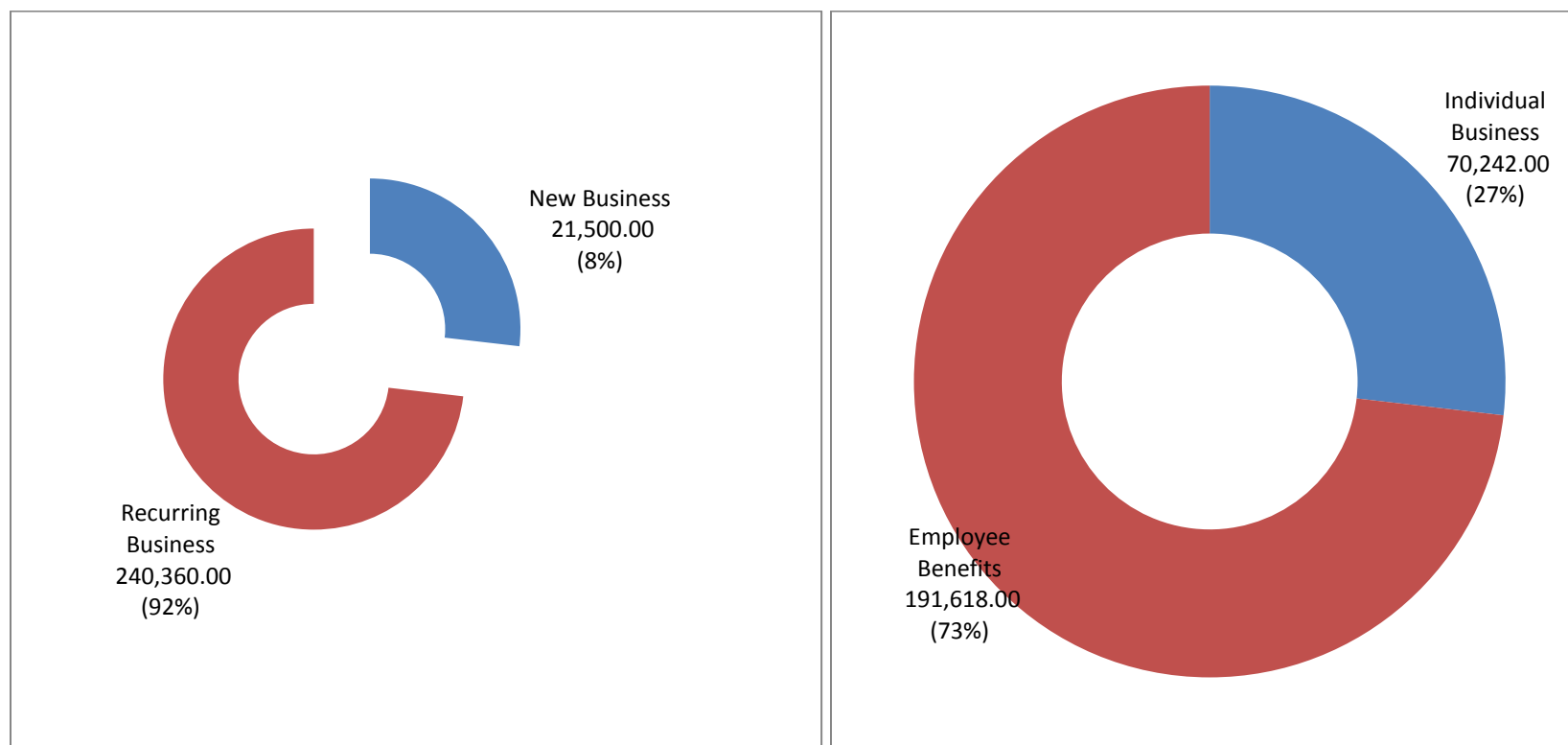
For the year ended 31 December 2013, life companies wrote \$262 million in gross premiums with 92% or \$250 million made up of recurring business whilst \$22 million or 8% was new business streams (December 2012: 93%: 7%) buoyed by employee benefits products which contributed 73% of the business portfolio (see Table 3 and Figure 1 below). IPEC believes players are capable of increasing their new business income streams phenomenally via product innovation biased towards the largely uninsured informal sector.

Table 3: Business Composition by Company for the year ended 31 December 2013

Co. Name	Individual Life (000)						Employee Benefits (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Dec 2012	Dec 2013	Growth (%)	Dec 2012	Dec 2013	Growth (%)	Dec 2012	Dec 2013	Growth (%)	Dec 2012	Dec 2013	Growth (%)	Dec 2012	Dec 2013	Annual Growth (%)
Altfin	27	14	(48%)	105	-	-	-	-	-	4,418	4,173	(6%)	4,550	4,187	(8%)
CBZ Life	355	1,122	116%	321	4,420	1277%	3,247	-	-	215	2,125	(888%)	4,138	7,667	85%
Evolution	2	-	-	244	412	69%	-	-	-	1,050	240	(77%)	1,296	652	(50%)
Fidelity	335	694	107%	1,512	3,552	135%	201	13	(94%)	6,753	7,711	14%	8,801	11,970	36%
FML	-	3,140	-	10,106	9,860	(2%)	-	2,902	-	12,199	12,494	2%	22,305	28,396	27%
Heritage	19	20	5%	540	796	47%	-	-	-	522	594	14%	1,081	1,410	30%
O. Mutual	1,498	3,288	19%	2,736	5,141	88%	34,777	7,082	(80%)	95,641	123,686	29%	134,652	139,197	3%
Zb Life	1,178	1,236	5%	1,436	1,857	29%	5	360	7100%	4,278	3,906	(9%)	6,897	7,359	7%
Zimnat	729	414	(43%)	496	1,740	251%	615	490	(20%)	10,498	11,600	10%	12,338	14,244	15%
Nyaradzo	-	630	-	-	31,906	-	-	95	-	-	14,147	-	-	46,778	-
TOTAL	4,143	10,558	155%	17,496	59,684	241%	38,845	10,942	(72%)	135,574	180,676	33%	196,058	261,860	34%



Figure 2: Business Composition for the year ended 31 December 2013 (\$000)



5.2 Business Composition by Class

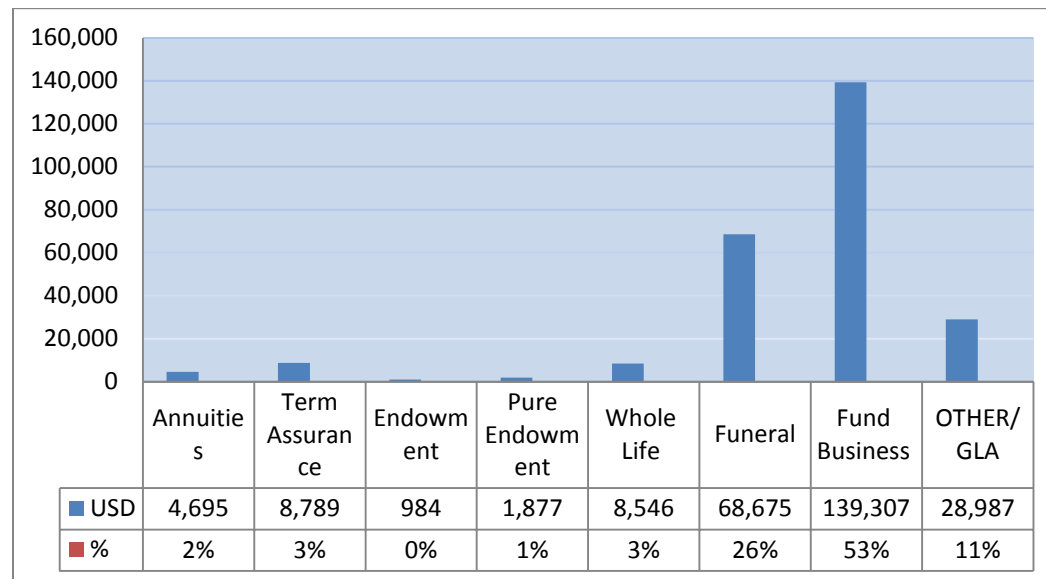
Fund business contributed 53% (December 2012:62%), group life assurance policies -11%(December 2012:9%) and funeral business-26%(December 2012:8%) of total gross premium written. The foregoing products accounted for a combined 90% of gross premium written with funeral business being the fastest growing class of the business (See Table 4,below).

Table 4: Written Business Classes by Company for the year ended 31 December 2013

Co. Name	Annuities (000)			Term Assurance (000)			Endowment (000)			Pure Endowment (000)			Whole Life (000)			Funeral (000)			Fund Business (000)			OTHER/GLA (000)			Total GPW(000)	
	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13
Altfin	20	10	(50)	7	4	(43)	-	-	-	-	-	-	4,523	4,173	(8)	-	-	-	-	-	-	-	-	-	4,550	4,187
CBZ Life	2,595	-	-	-	3,062	-	-	-	-	-	-	-	-	-	-	1,543	4,604	198	-	-	-	-	-	-	4,138	7,666
Evolution	-	-	-	-	-	-	-	-	-	-	-	-	1,050	139	(87)	246	401	63	-	112	-	-	-	-	1,296	652
Fidelity	-	78	-	-	-	--	143	708	395	75	108	44	1,129	307	(73)	501	2,569	413	6,953	7,724	11	-	476	-	8,801	11,970
FML	-	1,941	-	-	-	-	-	155	-	-	1,446	-	-	393	-	9,604	9,064	(6)	12,701	11,837	(7)	-	3,560	-	22,305	28,396
Heritage	3	8	167	0	-	-	-	5	-	50	81	62	522	-	-	506	722	43	-	-	-	-	594	-	1,081	1,410
O. Mutual	21,384	2,401	(89)	-	-	-	-	-	-	-	-	-	1,609	3,241	101	1,960	2,786	42	91,511	112,536	23	18,188	18,232	-	134,652	139,196
Zb Life	45	28	(38)	794	801	(1)	339	3	(99)	-	242	-	5,719	34	(99)	-	128	-	-	-	-	-	6,122	-	6,897	7,358
Zimnat	404	229	(43)	-	4,922	-	-	113	-	-	-	-	69	259	123	1,051	1,623	54	10,709	7,098	(34)	105	-	-	12,338	14,244
Nyaradzo	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	46,778	-	-	-	-	-	-	-	-	46,778
Total	24,451	4,695	(81)	801	8,789	997	482	984	104	125	1,877	284	14,621	8,546	(42)	15,411	68,675	346	121,874	139,307	14	18,293	28,987	58	196,058	261,860



Figure 3: Gross Written Premium by Product Class by Company for the year ended 31 December 2013



5.2.1 Not-taken Up and Lapsed Policies

The industry reported that the total policies that were not taken up amounted to \$1million (December 2012:\$103 000).Lapse ratios were reportedly in the thresholds of up to 61 %(see Table 5, below).

Table 5: Lapses and Not Taken Up Policies by Company for the year ended 31 December 2013

Co. Name	Not taken up policies (000)						Lapse Ratios (%)					
	Individual			Group Business			Individual			Group Business		
	Dec 2012	Dec 2013	Growth	Dec 2012	Dec 2013	Growth	Dec 2012	Dec 2012	Growth	Dec 2012	Dec 2013	Growth
Altfin	0	-	-*	4	4	-	0	58	-	0	58	-
CBZ Life	7	65	829	1	-	-	13	3	(10)	31	-	-
Evolution	0	-	-	0	-	-	5	-	-	100	9	(91)
Fidelity	0	-	-	0	-	-	0	-	-	0	-	-
FML	9	10	11%	0	-	-	33	41	8%	33	-	-
Heritage	0	2	-	*	-	-	*	4	-	0	17	-
O. Mutual	0	942	-	0	-	-	23	5	18	0	6	-
Zb Life	86	31	(64%)	0	-	-	40	61	21	0	-	-
Zimnat	1	15	1400%	0	-	-	21	12	(90)	0	-	-
Nyaradzo	-	-	-	-	-	-	-	6	-	-	1	-
TOTAL	103	1,065	934%	5	4	(20%)	N/A	N/A	N/A	N/A	N/A	N/A

7.0 Claims Analysis

For the year under review, life companies paid \$125million in net claims (December 2012: \$88million).The Industry's total claims bill grew by 40% against net premium growth rate 34% which might be an indicator for the industry to proactively deploy prudent underwriting measures (See Table 6,below and Table 2,above)



Table 6 : Claims Categories by Company for the year ended 31 December 2013

Co. Name	Death(000)			Maturity(000)			Disability(000)			Surrenders(000)			Funeral (000)			Annuities			Reinsurance			Total Net Claims (000)		
	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 12	%	Dec 12	Dec 2012	%
Altfin	57	-	-	0	134	-	0		-	113	44	(61)	0	-	-	292	909	211	32	-		430	1,087	153
CBZ Life	959	1,783	86	0	-	-	0	-	-	0	-	-	0		-	0	-	-	0	239		959	1,544	61
Evolution	280	54	(81)	0		-	0		-	0	-	-	0		-	0	38	-	0	-		280	92	(67)
Fidelity	551	983	78	114	339	197	0	-	-	565	228	(60)	0	-	-	141	98	(30)	122	9	(93)	1,249	1,639	31
FML	1,197	1,394	16	1,350	1,504	11	0	-	-	1,326	1,880	42	1,097	1,722	57	944	1,134	20	38	17	(55)	5,876	7,617	30
Heritage	111	181	63	4	1	(75)	0	35	-	23	16	(30)	0	-	-	0	35	-	8	34	325	130	234	80
O. Mutual	9,371	11,302	21	19,808	22,812	15	0	182	-	34,733	39,842	15	0	10,390	-	8,937	-	-	203	1,087	435	72,646	83,441	15
Zb Life	1,269	1,361	7	222	151	(32)	0	-	-	2,096	726	(65)	0	115	-	0	-	-	25	52	108	3,562	2,301	(35)
Zimnat	3,800	4,267	12	84	869	935	0	-	-	0	165	-	0	-	-	0	-	-	43	1,052	2347	3,841	4,249	11
Nyaradzo	-	22,535	-	-	-	-	-	-		-	-	-	-	-		-	-	-	-	-	-	-	22,535	-
Total	17,595	43,860	149	21,582	25,810	20	0	217	-	38,856	42,901	10	1,097	12,227	11	10,314	2,214	(79)	471	2,490	429	88,973	124,739	40

7.0 Claims Aged Analysis

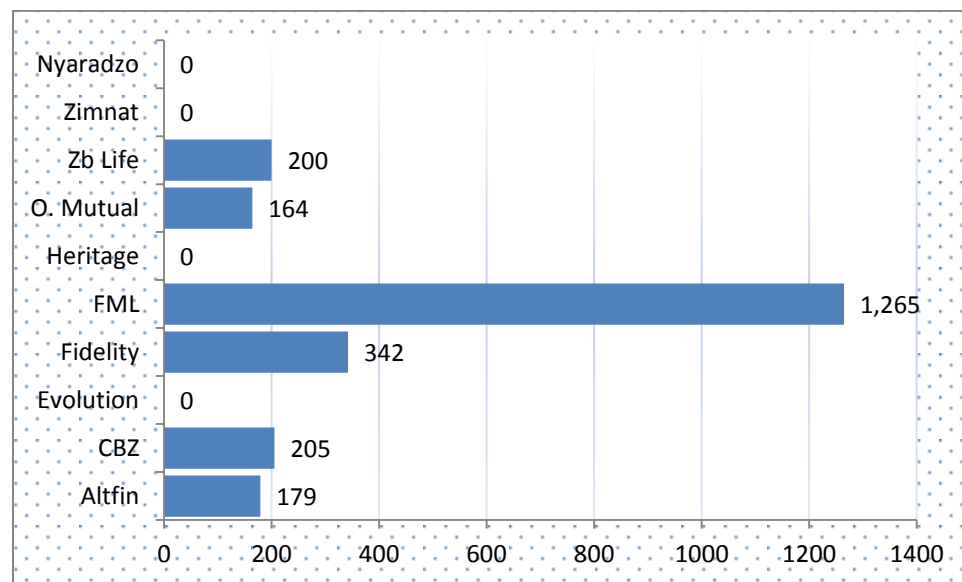
For the year ended 31 December 2013, total outstanding claims grew by 14% to close the year at \$2,4million. The Commission requires the industry to expedite payment of all claim obligations as a best practice marketing tool and restoration stakeholder confidence in the industry failure of which it will take punitive measures(See Table 7 and Figure 3,below).



Table 7 : Claims Aged Analysis by Company for the year ended 31 December 2013

Co. Name	>30days(\$000)			31-60days(\$000)			61-90days(\$000)			91-120days(\$000)			<121 days plus (\$000)			Total(\$000)		
	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%
Altfin	22	6	(73%)	0	134	-	0	9	-	389	0		0	30	-	411	179	(56%)
CBZ Life	48	60	25%	0	145	-	0	-	-	0	-	-	0	-	-	48	205	327%
Evolution	1	-	-	0	-	-	0	-	-	0	-	-	0	-	-	1	-	-
Fidelity	322	242	(25)	679	19	(97%)	88	23	(74)	16	13	(19%)	11	45	309%	1,116	342	(69%)
FML	0	128	-	0	53	-	0	46	-	140	70	(50%)	0	968	-	140	1,265	804%
Heritage	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-
O. Mutual	310	164	(47%)	0	-	-	0	-	-	0	-	-	0	-	-	310	164	(47)
Zb Life	14	4	(71%)	5	10	100	5	8	60%	15	7	(53%)	8	171	2037%	48	200	317%
Zimnat	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-
Nyaradzo	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	717	604	(16%)	684	361	(47%)	93	86	(8%)	560	90	(84%)	19	1,214	6289%	2,074	2,355	14%

Figure 4: Claims Aged Analysis by Company for the year ended 31 December 2013(000)



8.0 Debtors Aged Analysis

The life assurance industry reported a debtors book in the sum of \$7million (December 2012:\$4million,a 69% growth from the figures reported in the comparative period last year. Given a gross premium figure for the year of \$262million, the average collection rate was 97 % (December 2012:98%)(see Table 8,below).

Table 8 : Debtors Aged Analysis by Company for the year ended 31 December 2013 (\$000)

Co. Name	>30days(\$000)			31-60days(\$000)			61-90days(\$000)			91-120days(\$000)			<121 days plus (\$000)			Total(\$000)		
	Dec 12	Dec 13	%	Dec 12	Dec 12	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%
Altfin	116	99	(15%)	38	96	153%	61	84	38%	0	79	-	701	1,099	57%	916	1,457	59
CBZ Life	149	-	-	14	-	-	0	-	-	0	-	-	0	-	-	163	-	-
Evolution	0	44	-	0	35	-	0	28	-	0	74	-	0	-	-	0	181	-
Fidelity	273	432	58%	178	242	36%	109	177	62%	1	1,216	1116%	909	-	-	1,470	2,067	41%
FML	0	301	-	450	71	(84%)	129	239	85%	529	-	-	0	-	-	1,108	611	(45%)
Heritage	163	79	(52%)	48	88	83%	16	40	150	103	18	(83%)	0	249	-	330	474	44%
O. Mutual	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-
Zb Life	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-
Zimnat	171	-	-	52	-	-	17	-	-	15	-	-	2	-	-	257	-	-
Nyaradzo		326	-	-	509	-	-	1,553	-	-	-	-		-	-	-	2,388	-
Total	872	1,281	47%	780	1,041	33%	332	2,121	539%	648	1,387	114%	1,612	1,348	(16%)	4,244	7,178	69%

9.0 Earnings

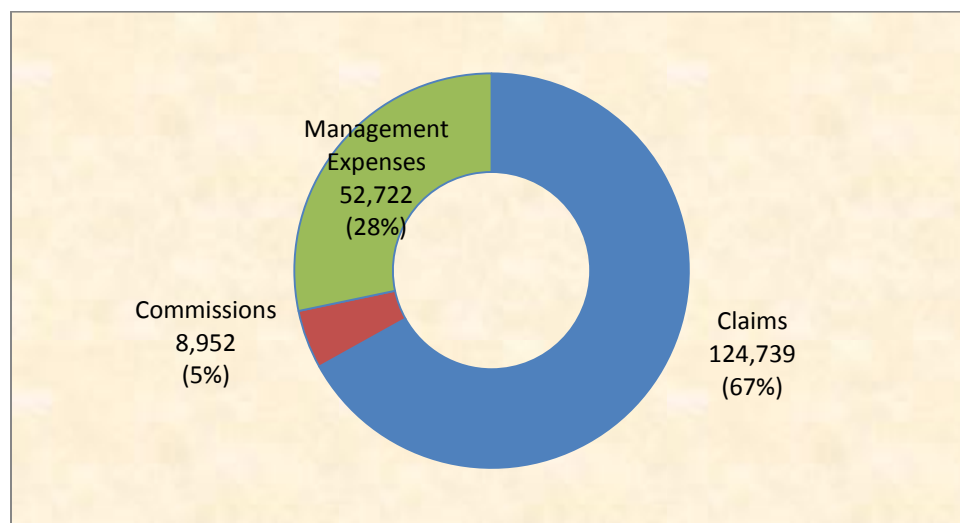
For the period under review, administration expenditure accounted for 28% or \$53million of total costs (December 2012:26% or \$33million), claims-67% or \$125million (December 2012: 70% or \$89million) whilst the commission bill was 5% or \$9million (December 2012: 4% or \$5million). This culminated in a 72% combined ratio (December 2012: 66%) (See Table 9, below).

Table 9: Key Income and Cost Indicators By Company for the year ended 31 December 2013

Co. Name	NPW (000)		Claims (000)			Commissions (000)			Management Expenses (000)			Total Costs (000)			Combined Ratio			
	Dec 2012	Dec 2013	Dec 2012	Dec 2012	Growth	Dec 2012	Dec 2013	Growth	Dec 2012	Dec 2013	Growth	Dec 2012	Dec 2013	Growth	Dec 11	Dec 12	Sept 13	Dec 13
Altfin	3,989	3,668	430	1,087	153	438	472	8	1,771	1,718	(3%)	2,039	3,277	60%	75%	51%	85%	89%
CBZ Life	3,907	7,464	959	1,544	61	472	788	67	1,145	2,154	88%	2,576	4,486	74%	55%	66%	61%	60%
Evolution	558	653	280	92	(67)	67	33	(51%)	503	699	39%	850	824	(3%)	88%	152%	150%	126%
Fidelity	8,520	11,582	1,249	1,639	31	261	370	42%	4,448	5,795	30%	5,958	7,804	31%	50%	70%	61%	67%
FML	21,697	28,139	5,876	7,617	30	1,481	1,824	23%	8,265	15,245	84%	15,622	24,686	58%	99%	72%	81%	88%
Heritage	1,016	1,362	130	234	80	157	239	52%	670	683	2%	957	1,156	21%	112%	94%	82%	85%
O. Mutual	134,202	138,384	72,646	83,441	15	772	1,425	85%	11,916	13,519	13%	85,334	98,385	15%	85%	64%	77%	71%
Zb Life	6,460	6,779	3,562	2,301	(35)	649	476	(27%)	2,331	2,686	15%	6,542	5,463	(16%)	135%	101%	82%	81%
Zimnat	11,765	13,354	3,841	4,249	11	607	542	(11%)	2,430	3,217	32%	6,878	8,008	16%	69%	58%	65%	60%
Nyaradzo	-	46,778	-	22,535	-	-	2,783	-	-	7,006	-	-	32,324	-	-	-	69%	69%
Total	192,114	258,163	88,973	124,739	40	4,904	8,952	83%	33,479	52,722	57%	127,356	186,413	46%	86%	66%	75%	72%



Figure 5: Key Cost Indicators By Company for the year ended 31 December 2013



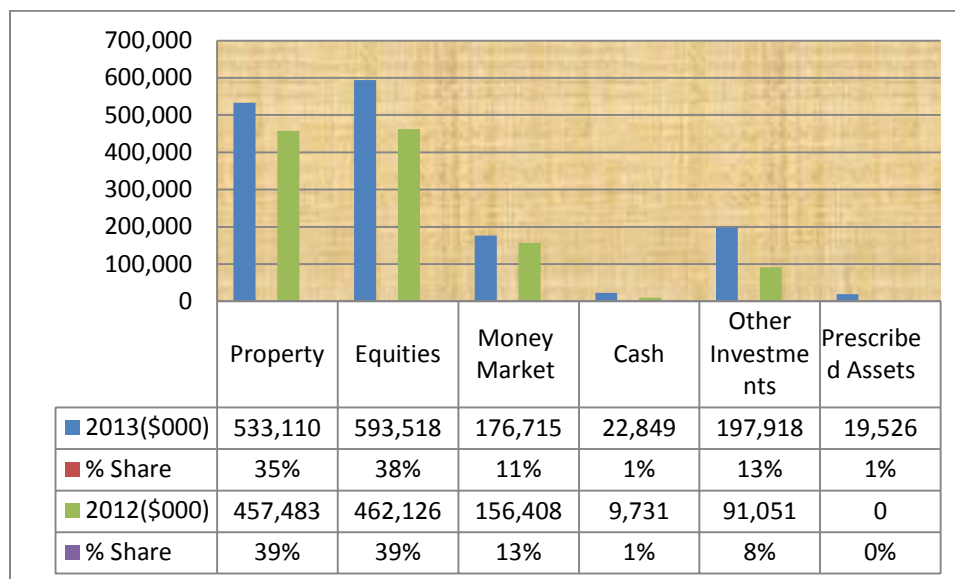
10. Asset Quality

As at the current review period ,life companies held their investments in properties,35% or \$533million (December 2012:39% or \$457million }, equities,\$594million or 38% (December 2012:39% or \$462million), money market , \$177million or 11%(December 2012:13% or \$156million), cash assets,\$23million or 1% (December 2012:1% or \$10million) , other assets , \$198million or 13%(December 2012:8% or \$91million) and \$20million or 1% on prescribed assets. The Commission continues to monitor the industry's compliance to government paper and general investment guidelines in line with Circular 1 of 2013 (See Table 10 and Figure 2, below).

Table 10: Life industry Assets for the year ended 31 December 2013

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	Growth
Altfin	1,500	1,730	15	0	-	-	177	-		164	136	(17)	941	501	(47)	-	-	-	2,782	2,367	(15)
CBZ	135	305	126	0	-	-	4,160	6,320	52	258	516	100	380	625	64	-	605	-	4,932	8,371	70
Evolution	28	31	10	0	-	-	140	225	61	12	23	92	2,237	2,774	24	-	30	-	2,417	3,083	28
Fidelity	18,444	21,791	18	4,950	6,127	24	4,296	5,019	17	422	593	41	5,342	8,148	53	-	-	-	33,453	41,678	25
FML	0	0	-	20,779	25,014	20	10,073	3,968	(60)	1,844	5,890	219	64,820	140,365	117	-	3,529	-	97,516	178,766	83
Heritage	545	725	33	33	-	-	107	1,622	1416	1,516	49	(97)	426	382	(10)	-	-	-	2,627	2,778	6
O. Mutual	417,360	467,692	12	407,490	525,277	29	127,478	141,800	11	4,771	10,098	112	11,983	30,488	154	-	14,715	-	969,082	1,190,070	23
Zb Life	4,031	3,433	(15)	20,126	24,141	20	1,766	2,752	56	132	45	(66)	2,693	1,546	(43)	-	269	-	28,748	32,186	12
Zimnat	15,440	17,340	12	8,748	12,814	46	8,211	10,898	33	614	1,389	126	2,229	3,730	67	-	95	-	35,242	46,266	31
Nyaradzo	-	20,063	-!	-	145	-	-	4,111	-	-	4,110	-	-	9,359	-	-	283	-	-	38,071	-
Total	457,483	533,110	17	462,126	593,518	28	156,408	176,715	13	9,733	22,849	135	91,051	197,918	1933	-	19,526	-	1,176,799	1,543,636	31

Figure 6: Life industry Assets for the year ended 31 December 2013



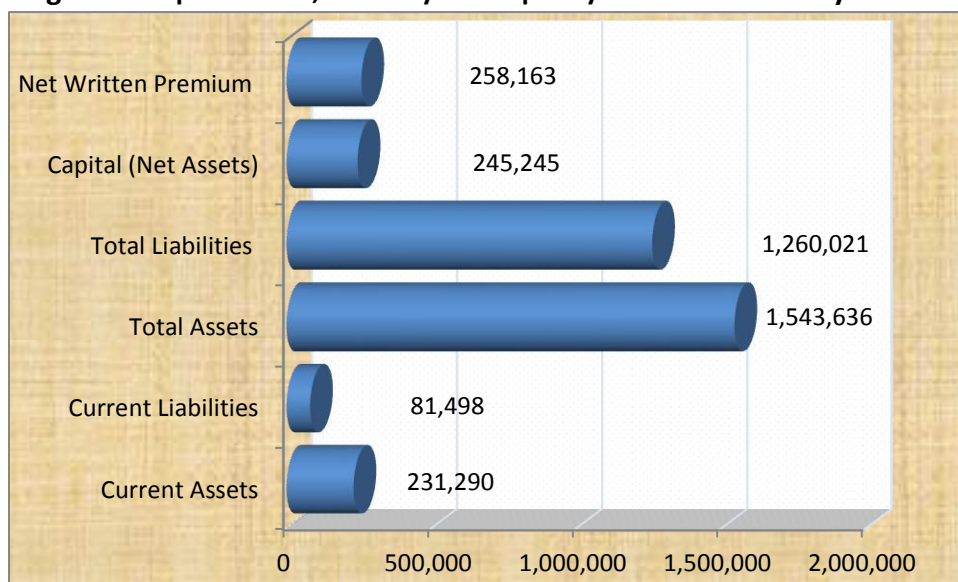
11. Capitalization, Solvency and Liquidity Indicators

All life insurers were adequately capitalized in excess of \$500 000 as prescribed by Statutory Instrument 189 of 2009. The industry reported combined capital to liability and liquid ratios of 19% and 284% respectively (See Table 11, below).

Table 11: Capitalization, Solvency and Liquidity Indicators for the year ended 31 December 2013

Co. Name	Current Assets(000)			Current Liabilities			Total Assets(000)		Total Liabilities (000)			Capital (Net Assets)(000)			Net Written Premium (000)		Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)			Capital to NPW Ratio (%)		
	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	Dec 12	Dec 13	%	Dec 12	Dec 13	%	Dec 12	Dec 13	%
Altfin	1,044	637	(39)	1,848	1,375	(26)	2,782	2,367	1,848	1,841	-	932	526	(44)	3,989	3,668	50	29	(21)	56	46	(10)	23	14	(9)
CBZ Life	4,793	7,939	66	2,227	2,000	(10)	4,932	8,371	2,227	2,390	7	2,705	5,981	121	3,907	7,464	121	250	129	215	395	180	69	80	11
Evolution	236	485	106	320	611	91	2,417	3,083	320	611	91	2,097	2,472	18	558	653	655	405	(250)	74	79	5	95	379	284
Fidelity	10,065	13,760	37	5,285	5,204	(2)	33,453	41,678	25,399	32,598	28	8,054	9,080	13	8,520	11,582	32	28	(4)	190	264	74	95	78	(17)
FML	13,828	14,980	8	5,252	21,782	315	97,516	178,766	87,877	109,807	25	9,639	68,959	615	21,697	28,139	11	63	52	263	69	(194)	44	245	201
Heritage	1,813	1,907	5	352	205	(42)	2,627	2,778	573	372	(35)	2,054	2,406	17	1,016	1,362	358	647	289	515	930	415	202	177	(25)
O. Mutual	123,938	185,409	50	25,902	49,943	93	969,082	1,190,070	854,860	1,048,635	23	114,222	141,136	24	134,202	138,384	13	13	-	478	371	(107)	85	102	19
Zb Life	2,567	3,347	30	1,824	1,892	4	28,748	32,186	25,800	29,925	16	2,948	2,261	(23)	6,460	6,779	11	8	(3)	141	177	36	46	33	(130)
Zimnat	1,406	2,826	101	1,284	2,472	93	35,242	46,266	25,773	33,842	31	9,469	12,424	31	11,765	13,354	37	37	-	110	114	4	80	93	13
Nyaradzo	-	17,734	-	-	35,301	-	-	38,071	-	35,409	-	-	2,662	-	-	46,778	-	8	-	-	50	-	-	6	-
Total	159,690	231,290	45	44,294	81,498	84	1,176,799	1,543,636	1,024,677	1,260,021	23	152,120	245,245	61	192,114	258,163	15	19	4	361	284	(77)	79	95	16

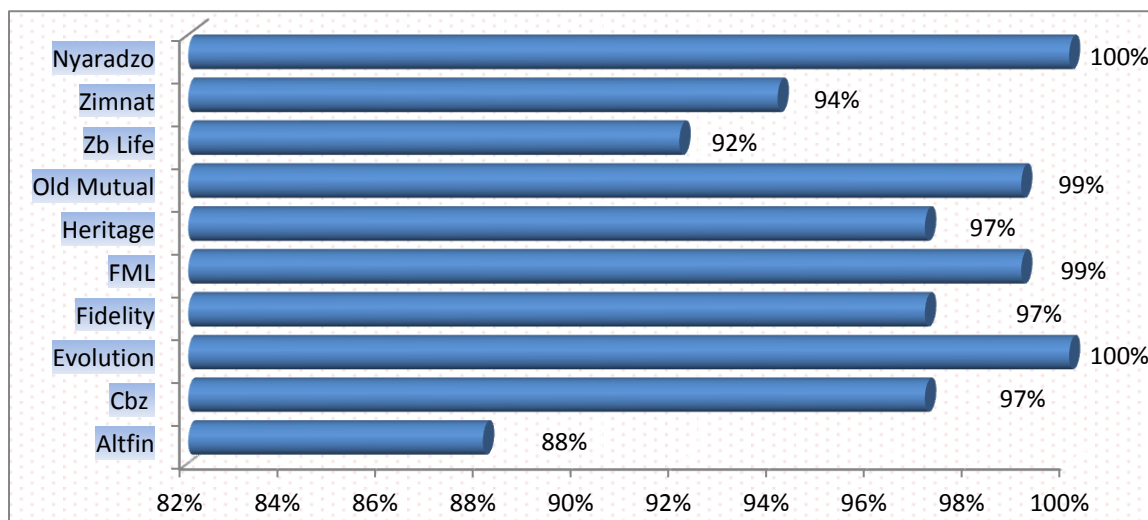
Figure 7: Capitalization, Solvency and Liquidity Indicators for the year ended 31 December 2013



12. Reinsurance

The industry reported generally high retention ratio of at least 80%.. We however encourage players to prudently reinsure on all risk business above their underwriting limits given the current trends of rising combined ratios. (see Figure 8 below)

Figure 8: Retention Ratios



Section B

Reassurance Companies



1.0 Update on Number of Operational Institutions

This report is based on 2 life reinsurers.

2.0 Business Written

Table 1 below, shows that reinsurers wrote \$6million in net premiums which was a 16% growth from the prior year (December 2012:\$5million).

Table 1: Key Performance Indicators for the quarter ended 31 December 2013(000)

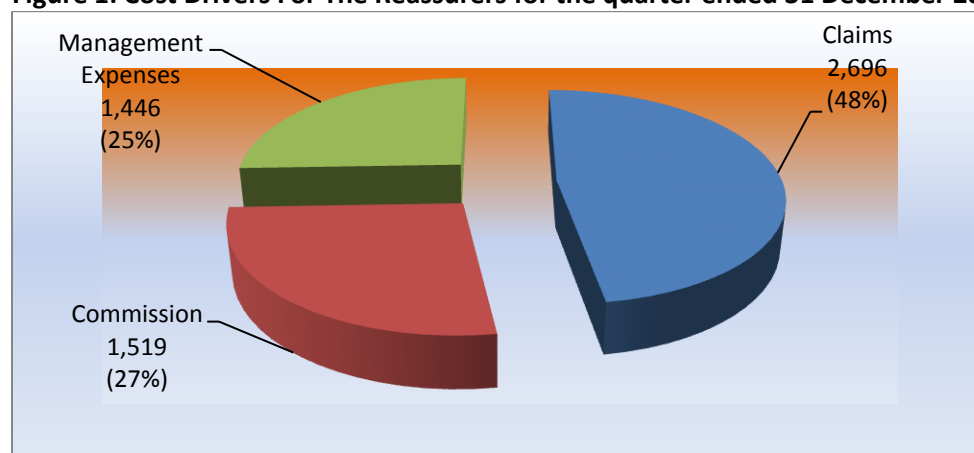
Item	Baobab Re			FM Re			Total		
	Dec-12	Dec-13	%	Dec-12	Dec-13	%	Dec-12	Dec-13	%
Gross Premium Written	4,201	5,097	21%	1,779	1,960	10%	5,980	7,057	18%
Net Premium Written	3,408	4,097	20%	1,557	1,643	6%	4,965	5,740	16%
Gross Claims	1,091	1,960	80%	761	736	(2%)	1,852	2,696	46%
Net Claims	1,091	1,960	80%	761	736	(2%)	1,852	2,696	46%
Ne Commission	980	1,135	16%	298	384	29%	1,278	1,519	19%
Management Expenses	802	907	13%	506	539	7%	1,008	1,446	43%
Total Costs	2,873	4,002	39%	1,565	1,659	6%	4,438	5,661	28%
Underwriting Profit	535	95	(82%)	(8)	(16)	(50%)	527	79	(85%)
Combined Ratio	84%	98%	(14%)	101%	101%	-	89%	99%	10%

3.0 Earnings

For the current reporting period, cost grew by 28% whilst net premium inflows grew by 16% to \$6million. This imbalance resulted in a \$79 000 underwriting profit and a combined ratio of 99%, a 10% increase from the same period last year

The cost distribution was made up of Claims-\$3million or 48%(December 2012:37% or \$2million), Commission -\$2million or 27%(December 2012:26% or \$1million) and management expenses-\$1million or 25%(December 2012:26% or \$1million)(See Table 1 and Figure 1 below).

Figure 1: Cost Drivers For The Reassurers for the quarter ended 31 December 2013



4.0 Capitalization and Solvency

For the current reporting period, both reinsurers were on course to full compliance with the new minimum capital requirements in line with Statutory Instrument 21 of 2013.

The industry reported a current ratio of 795% and a capital to liability ratio of 37%. In the medium to long term players may be expected to hold capital which matches their liabilities in line with emerging best practices (See Table 2, below).

Table 2: Capitalisation, Solvency and Liquidity Indicators for the year ended 31 December 2013 (000)

Item	Baobab Re			FM Re			Total		
	Dec-12	Dec-13	%	Dec-12	Dec-13	%	Dec-12	Dec-13	%
Current Assets	2,081	3,445	66%	1,858	1,738	(6%)	3,939	5,183	32%
Total Assets	3,636	4,617	27%	2,250	2,236	(1%)	5,886	6,853	16%
Current Liabilities	677	576	(15%)	471	462	(2%)	1,148	652	(43%)
Total Liabilities	2,781	3,898	40%	857	1,111	30%	3,638	5,009	38%
Capital	855	719	(16%)	1,393	1,126	5%	2,248	1,845	(18%)
Prescribed Assets	-	30	-	-	-	-	-	30	-
Prescribed asset Ratio	-	1%	-	-	-	-	-	-	-
Current Ratio	307	598%	(291)	397	376%	(21%)	343	795%	452%
Capital to liability ratio	31%	18%	(13)	163%	101%	(62)	-	37%	-
Net premium written	3,408	4,097	20%	1,557	1,643	6%	4,965	5,740	16%
Capital to Net premium written ratio	25%	18%	(7)	89%	69%	(20%)	87%	32%	(55%)

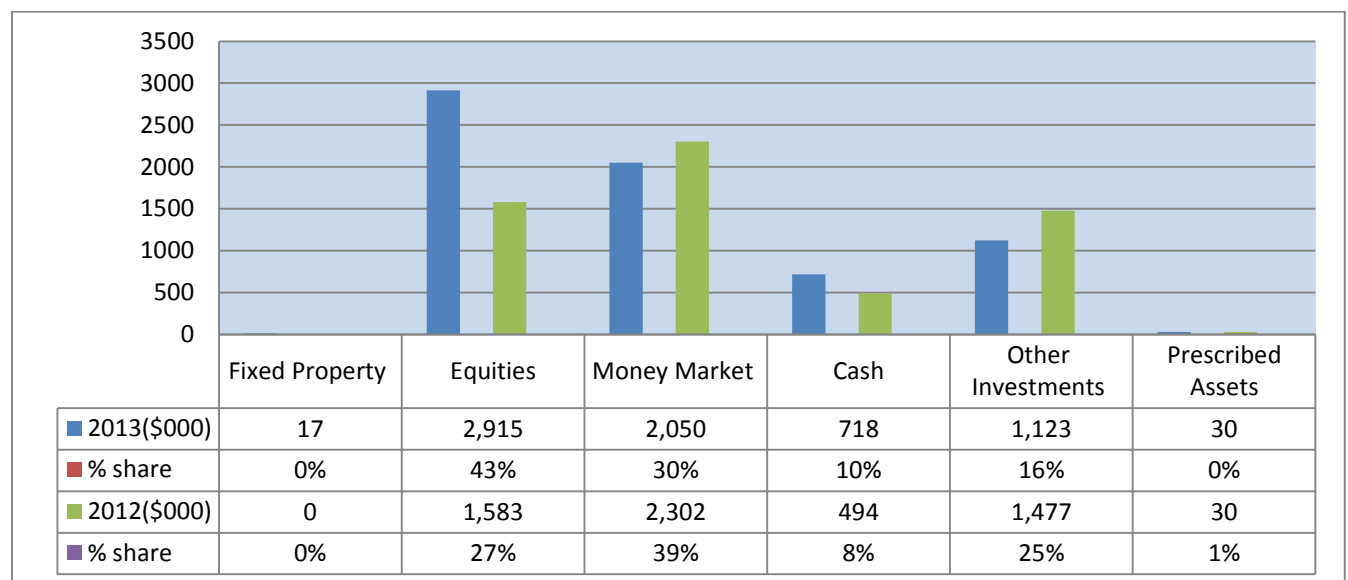
5.0 Asset Quality

As at 31 December 2013, reinsurers held their assets in equities - 43% or \$3million, money- 30% or \$2million, Cash-1% or \$1million and 16% or \$1million which was invested in other investments. Players must be guided by actuarial input and statutory guidelines in order to achieve the right asset- liability mix (See Table 3 and Figure 2, below).



Table3: Total Assets for Reassurers for the quarter ended 31 December 2013

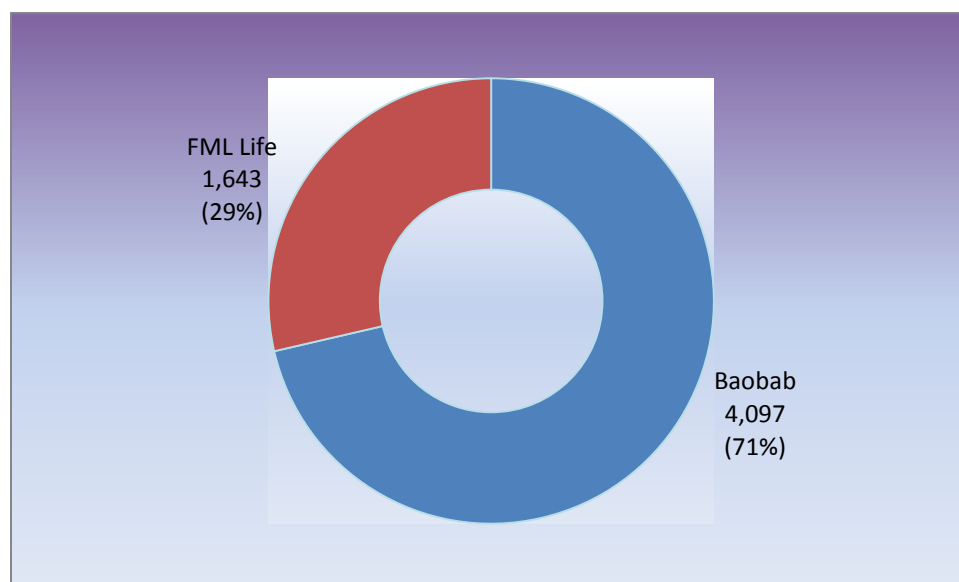
Asset Type	Baobab Re			FM Re			Total		
	Dec-12	Dec-13	%	Dec-12	Dec-13	%	Dec-12	Dec-13	%
Fixed Property (000)	-	0	-	-	17	-	-	17	-
Equities (000)	1,222	2,433	99%	361	482	34%	1,583	2,915	84%
Money Market (000)	858	600	(30%)	1,444	1,450	-	2,302	2,050	(11%)
Cash (000)	462	648	40%	32	70	25%	494	718	41%
Other Investments (000)	1,064	906	(15%)	413	217	(47%)	1,477	1,123	(14%)
Prescribed Assets	30	30	-	-	0	-	30	30	-
Total Assets (000)	3,636	4,617	27%	2,250	2,236	(1%)	5,886	6,853	19%

Figure 2: Total Assets for Reassurers for the quarter ended 31 December 2013(\$000)

6.0 Market Share

As shown below, Baobab Life commanded 71% of the market share with the FM Re Life and Health getting the balance. Players are encouraged to compete mainly on product innovation and service in sympathy with current macroeconomic changes. (See Figure 3, below).

Figure 3: Market share by Gross Premium Written For Reassurers for the year ended 31 December 2013



7.0 Prescribed Assets

Out of a minimum level of 7.5%, the industry's uptake of prescribed paper was 1%. Players are however required to participate as availability improves to avoid statutory penalties (See Table 8 and 9).

Table 4: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Old Mutual	DIMAF:\$27 million	Funding distressed and marginalized industries	5years	10%	2 January 2013
CBZ	AMA Bills	Funding 2013/4 Soya bean farming	272 days	10.5%	4 October 2013
NMB	SME:\$50 million	Funding small to medium enterprises	2years	10%	3 October 2013
FBC /Agribank	Agrobills:\$15million	Funding 2013/4 Soya bean farming	360days	10%	4 October 2013

8.0 Acts, Statutory Instruments and Circulars

For the quarter under review the circulated following Act, circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 5: Issued Acts, Circulars and Statutory Instruments for the year ended 31 December 2013

Details	Subject Matter	Issue date
Money Laundering and Proceeds Of Crime Act Chapt9:24	A Money Laundering and Proceeds Of Crime Act	June 2013
Circular No.6 of 2013	Insurance and Housing Pension Fund	27 June 2013
Circular No.5 of 2013	Corporate reporting	20 June 2013
Circular No.1 of 2013	Investment guidelines	20 March 2013
Statutory Instrument 21 of 2013	Capital Requirements for Insurance companies	22 February 2013
Circular No. 8 of 2013	Registration of Actuaries	13 December 2013